undesirable to encourage commercial banks in India, ‘which have yet to consolidate their war-time expansion, to finance industry on a larger scale than at present.’[16]

As regards other recommendations relating to commercial banks, the Committee recommended the appointment of an expert committee to examine, among other things, ways of rationalizing wages and salaries in the banking sector, liberalizing facilities under the bill market scheme and providing medium-term finance and better remittance arrangements. It also recommended that the bank recognize the shares and debentures of the IFCI and SFCs as eligible securities for granting advances, and provide financial assistance to licensed scheduled banks opening branches under an approved expansion programme. The Committee also favoured examining the feasibility of introducing a deposit insurance scheme, taking punitive action against persons who issued cheques which bounced, and forming an all India association of banks. It also recommended linking indigenous moneylenders with the organized credit market, more liberal facilities from the IFCI, setting up a special development corporation for financing small-scale industries under the aegis of the RBI, expeditious payment by the government of its bills to the private sector, improving collection of data relating to joint-stock companies, and establishing specialized institutions such as issue houses and investment or unit trusts.

The Shroff Committee was the first to moot the idea of unit trusts as a vehicle for mobilizing the funds of the small investor for investment in the market. The Committee felt that expert fund managers would provide good returns to small investors, and at the same time strengthen and deepen the capital market through the presence of large institutional players. The Committee felt that unit trusts had several advantages:

> They are eminently suited for catering for the middle and poorer classes, whose individual savings may not be large enough to facilitate direct operations on the stock exchanges. Also since each unit represents a fraction of a number of securities, the risk undertaken by an investor in a unit is spread over a number of securities and is thus minimized. It is also advantageous in as much as the actual operations of buying and selling securities are conducted by the specialized management company on behalf of